
Country Compliance Report:

# FRANCE (2024)

Information class: Restricted

***Disclaimer****. As the French regulator has not yet published or clarified all relevant requirements, this CCR should be considered as a "Draft", pending further changes. Certain sections, where we foresee or required further information, have as well been explicitly marked in yellow.*

**Country Compliance Report: FRANCE**

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| Report operational: | 15 August 2023 |
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# Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

# 1. Terminology

This section outlines general and country-specific terminology for France, which will be used throughout the whole document.

| Term | Explanation |
|---|---|
| **AoR** | Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection), and must be issued after the validation of the received document with MI (Mandatory Infrastructure) |
| **AIFE** | The Digital Agency of France (fr. *L'Agence pour l'Informatique Financière de l'Etat*) |
| **CGI** | The General Tax Code of France (fr. *Code général des impôts*) |
| **Central Directory** | Is the central registry of e-taxpayers and PDP's in France. Can as well be referred to as "Directory" throughout the document |
| **Centralised exchange** | Where trading parties are required to transmit e-Documents to a predetermine infrastructure normally owned or maintained by the state (PPF). The infrastructure acts as an exchange engine, conducting mandatory checks, before delivering the invoice to the target receiver. It is the taxpayers option to decide whether exchange documents via PPF (centralized) or via PDP (interoperability) |
| **Chorus Pro** | Central e-invoicing platform, which currently receives and processes B2G e-invoices, and is planned to be extended to support the upcoming B2B e-invoicing mandate. Can as well be referred to as PPF |
| **DEB** | Intrastat Declaration of Exchanges of Goods for intra-Community trade |
| **DES** | Intrastat Declaration of Services for intra-Community trade |
| **Distributed Clearance** | France has implemented a Distributed Clearance approach, meaning that Certified Service Providers (PDP) are allowed to perform the validation of exchanged e-documents instead of the central platform PPF. Such PDP's are required to report a mandatory subset of exchanged e-documents to PDP |
| **e-Document** | For the purpose of this CCR, refers to e-invoices and invoice statuses |

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| **e-Invoicing** | In the context of this CCR, refers to the obligation to exchange domestic B2B invoices electronically between the trading parties and report data of such transactions to the PPF transaction-by-transaction and can be applied to domestic and international B2B transactions, and B2C transactions |
| **e-Reporting** | In the context of this CCR, refers to the obligation to report to PPF an aggregated data on transactions that are not reported via the e-invoicing flow, meaning transaction-by-transaction, and is allowed for International B2B and B2C transactions |
| **CII** | UN/CEFACT Cross Industry Invoice, one of the structured invoice type that is allowed in France. |
| **DGFIP** | The Tax Administration of France (fr. *Direction générale des Finances publiques*) |
| **EN** | European Norm is the semantics (content) requirements established by CEF for the EU public procurement |
| **Factur-X** | French invoice type that embeds a structured electronic invoice inside a PDF. It is often called a “hybrid” invoice as it includes both a structured and a human-readable presentation. All information present in the structured format must be present in the readable PDF |
| **Invoice (Lifecycle) Status** | Invoice (Lifecycle) Statuses are electronic messages exchange between the supplier and the buyer, that allow parties to notify each other and keep track of the processing status/situation of invoice |
| **Invoice Report** | In the context of this report, refers to any data submitted to PPF/DGFIP, including B2B and B2G Tax Invoice (Domestic and International), Invoice Subset, Invoice Status, B2C Invoice and receipt, etc. |
| **Invoice Subset** | In the context of this report, refers to the regulated VAT extract of Tax Invoice that PDP provides to PPF/DGFIP |
| **MOA** | For B2G routing purposes. It’s the Project manager of the contracting authority addressed in the e-invoice |
| **OD** | Non-Certified Service Provider is allowed to exchange e-documents only via PPF or PDP |
| **PDP** | Certified Service Provider (fr. *Plateformes de dématérialisation partenaires*) is allowed to exchange e-documents directly with other PDP, and report extract of the document to PPF |
| **PDP ID** | PDP address registered in Central Directory |
| **PPF** | National Platform *(fr. Portail public de facturation)* is the central platform operated by AIFE on behalf of DGFIP, as well referred to as Chorus Pro. It is designed to among others execute the following functions:<br>o Service as the exchange platform for all B2G e-invoices<br>o Serve as the exchange platform for B2B e-invoices, for those e-taxpayers who opted in for such option<br>o Serve as the aggregation platform for data provided on PDP’s on e-documents exchanged |

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|---|---|
| | ○ Service as the aggregation platform for data submitted as part of the e-Reporting process<br>Serve as the central Directory, where data on e-taxpayers and PDP's is registered and maintained |
| **Recipient ID** | Unique identification number of electronic recipient in the Central Directory that ensures correct routing of e-documents in France |
| **Routing code or Routing ID** | Is a unique identifier based on certain available standards, that allow identification of a taxpayer units, divisions, departments, etc. on additional granularity level beyond SIREN and SIRET numbers. Examples of routing codes include, but are not limited to GLN number, DUNS number, ODETTE number. |
| **SIREN** | SIREN (fr. *système d'identification du répertoire des entreprises*) 9-digit code given to French businesses and non-profit organizations |
| **SIRET** | SIRET (fr. *Système d'identification du répertoire des établissements*) 14-digit unique French business identification number of a specific establishment. It consists in the SIREN number plus five extra which allows to identify different establishment belonging to a business |
| **Tax Invoice** | In the context of this report, refers to the fiscal document exchanged between the supplier and the buyer, and fulfils the mandatory requirements in France, which either in full or partially (Invoice Subset) is submitted to PPF/DGFIP |
| **UBL** | Universal Business Language. Document schema of standard electronic XML business documents |

# 2. General overview

This section provides an initial introduction into the local e-Invoicing environment within France, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

| Item | Commentary |
|---|---|
| **Authorities and other agencies relevant for e-invoicing** | • Ministry of the Economy and Finance (policy making)<br>• General Directorate of Public Finance<br>• Agency for State Financial Information - *Agence pour l'Informatique Financière de l'État* (AIFE)<br>• The French Tax Authority (DGFIP) |
| **Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention** | • The French Tax Code<br>• Decree No. 2013-350 dated April 25, 2013<br>• Ordinance No. 2014-697, dated June 26, 2014<br>• Decree No. 2016-1478, dated November 2, 2016<br>• Business Growth and Transformation Law – PACTE (along with the transposition of the Directive 2014/55/EU)<br>• Ordinance No. 2019-359, dated 24 April 2019<br>• Article 153 of the budget law for 2020<br>• Amendment no. II-3211, The French government has proposed an amendment to the 2021 budget introducing mandatory B2B e-invoicing<br>• Technical specifications |

# 3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

| Item | Commentary |
|---|---|
| **E-invoice status** | • Mandatory, by gradual roll-out |
| **Varying invoicing regimes**[1] | • Under the Y model, the taxpayers can choose whether they follow the Decentralised Clearance or Centralised Exchange model |
| **e-Invoicing model** | • For B2G: Centralised Exchange<br>• For B2B: Combination of Decentralised Clearance and Centralised Exchange models. The taxpayers may choose the preferred one |
| **e-Invoice definition**[2] | • As per the Ordinance n. 2021-1190 of 15th September 2021, an electronic invoice is an invoice issued, transmitted, and received in a dematerialized form and which necessarily includes a minimum base of data in structured form, which differentiates it from "paper" invoices or ordinary PDF. |
| **Scope of taxpayers the e-document mandate applies to** | **B2G e-invoicing**<br>• All suppliers to contracting entities, irrespective of their size<br>**B2B e-invoicing**<br>• All taxable persons established in France, incl. overseas departments, both subject to VAT and not, i.e. including micro-businesses<br>• The only exceptions are non-taxable legal persons, such as NGO, or certain sectors exempted from issuing invoices in general, e.g. education, insurance, banks |



[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

| | |
|---|---|
| | **e-Reporting**<br>• The e-reporting obligation includes as well taxable persons not established in France, but liable for VAT in France (have FR VAT number) and filing FR VAT returns, unless they are duly registered under the OSS schema<br>• French entities will be required to e-report all Transactions with Monegasque entities, unless the entity from Monaco is register in the French e-invoicing Director voluntarily (e-invoicing for those cases). |
| **Mandatory AoR (document response) process** | • Invoice life cycle statuses are required for both the senders and receivers. For more details, see further in section 5.6 |
| **Implementation / roll-out plan** | **B2G e-invoicing**<br>• The mandate has already been fully implemented for all suppliers to contracting authorities according to the following schedule<br>o 1 January 2017: Large businesses<br>o 1 January 2018: Medium businesses<br>o 1 January 2019: Small businesses<br>o 1 January 2020: Micro businesses<br>**B2B e-invoicing/e-reporting and including B2C e-reporting**<br>• **Inbound (AP) e-invoicing**: Starting from ~~1 July 2024~~, all taxpayers are obliged to be able to receive e-invoices<br>• **POSTPONED AND AWAITING NEW DATE FOR ENTRY INTO FORCE**<br>• **Outbound (AR) e-invoicing and e-reporting**: Starting from ~~1 July 2024~~, gradual implementation of the requirement to issue e-invoices or e-report (Domestic B2B, International B2B and B2C) and Invoice Statuses in structured format<br>o ~~1 July 2024~~ – Large businesses<br>o ~~1 January 2025~~ – Medium businesses<br>o ~~1 January 2026~~ - SMB<br>• **POSTPONED AND AWAITING NEW DATE FOR ENTRY INTO FORCE** |

### Taxpayer categorization

The Decree no. 2008-1354 of 18th December 2008 establishes the following taxpayer categorisation by their size based on the results for the last closed financial year (The concept of enterprise used is that of legal unit, identified by its Siren number):

| Size category | Definition |
|---|---|
| **Large businesses (Grandes)** | • **Number employees:** ≥ 5.000 FTE, or<br>• **Turnover:** ≥ 1,5 BEUR, or<br>• **Balance sheet:** ≥ 2 BEUR |
| **Medium businesses (ETI)** | • **Number employees:** < 5.000 FTE, or<br>• **Turnover:** < 1,5 BEUR, or<br>• **Balance sheet:** < 2 BEUR |
| **Small businesses (PME)** | • **Number employees:** < 250 10 FTE, or<br>• **Turnover:** < 50 MEUR, or<br>• **Balance sheet:** < 43 MEUR |
| **Micro businesses (TPE)** | • **Number employees:** < 10 FTE, or<br>• **Turnover:** < 2 MEUR, or<br>• **Balance sheet:** < 2 MEUR |

### Types of transactions included in the mandate

| Transaction type | Clarifications |
|---|---|
| **B2B: domestic invoices incl. invoice life cycle statuses** | • Invoice, Self-billed Invoice, Instalment Invoice, Collective Invoice<br>• Credit/debit Note and Corrective Invoice<br>• Simplified invoice (invoice amount excl. VAT < EUR 150) |
| **B2B: cross-border sales invoices** | • Intra-community supply of goods and services<br>• Exports of goods and services |
| **B2B: cross-border purchase invoices** | • Intra-community purchase of goods and services<br>• Non-EU imports of services |
| **B2C: domestic and cross-border sales invoices (i.e. with individuals and non-taxable legal persons)** | • Domestic supply of goods and services<br>• Distance sales of goods within France and the EU<br>• Supplies of goods and services to individuals outside of the EU |
| **Received payment (part of lifecycle statuses)** | • Mandatory only for sales of services (except VAT on debits and excluding reverse charge transactions)<br>• Both domestic and cross-border transactions<br>• Both B2B and B2C transactions |
| **Invoice rejection (part of lifecycle statuses)** | • Invoice rejection for business reasons mandatory for buyers for B2B domestic transactions |

# 4. Before switching to e-invoices

## 4.1. IT[3] registration

The local name for value added tax “*Taxe sur la Valeur Ajoutée* [TVA]”

French IT numbers have 13 characters [FR + 11 digits]. The last 2 digits constitute a control number. i.e. FR 31832375831

**VAT registration**. A taxable person that begins business activity in France must notify the French VAT authorities and register for VAT within 15 days. The VAT law in France does not contain any provision for exemption from registration.

A taxable person is any business entity or individual that performs taxable supplies of goods or services, intra-Community acquisitions or distance sales, in France. Under the franchise regime, the following thresholds apply to small French-established businesses:

- Sales of goods: EUR 85.800 during the previous year (or EUR 94.300 when the turnover did not exceed the EUR 85.800 threshold during the year before the previous year)
- Supplies of services: EUR 34.400 during the previous year (or EUR 36.500 when the turnover did not exceed the EUR 34.400 threshold during the year before the previous year)

**Group registration**. VAT group is allowed in France starting from 1 January 2023. The option for the VAT group must be formulated by the latest on 31 October of the year preceding its application. It takes effect on 1 January of the year following the year in which it was made. The minimum time period required for the duration of a VAT group is three years.

**Fixed establishment**. According to the guidelines of the French tax authorities, a VAT fixed establishment is characterized by a sufficient degree of permanence, as well as the human and technical resources necessary to do the following:



[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

- Independently perform supplies of goods or services ("supplier" VAT establishment)
- Use supplies of goods or services that are provided to it ("recipient" VAT establishment)
- Be involved in supplies of goods or services rendered in France by the headquarters ("participant" VAT establishment)

**Non-established businesses**. A "non-established business" is a business that has no statutory seat nor fixed establishment for VAT purposes in the territory of France. If a non-established taxable person exclusively performs supplies that are subject to the reverse-charge mechanism, it does not need to register for VAT in France.

**Tax representatives**. Businesses established outside the EU in countries not having a mutual assistance agreement with France (except some listed countries, e.g. the UK) must appoint a tax representative to register for VAT. Foreign businesses established within the EU or in countries having a mutual assistance agreement with France (except some listed countries) may either register for VAT directly or appoint a VAT agent who files the registration form and the periodic VAT returns on their behalf.

## 4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

| Item | Commentary |
|---|---|
| **Actions towards authorities, required in order to enable electronic processing instead of conventional processing** | • Taxpayers have to register themselves with the Central Directory (SIREN or SIRET). Initially all taxpayers will be added to the population of the Central Directory by AIFE using data from DGFiP, taxpayers are however expected to confirm and finetune their information in the e-directory after being added.<br>• Taxpayers have to choose whether they will receive their e-invoices via PPF or PDP<br>• Expecting further clarifications from DGFIP |
| **Actions between the trading partners, e.g. customer acceptance, agreement, etc.** | • No explicit requirements<br>• It is, however, recommended to agree on which invoice statuses, beyond the mandatory, the parties will exchange |
| **Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed** | • Companies will have the possibility during a transitional phase to submit invoices in unstructured PDF format on their platform. A transformation will have to be carried out by the platform to send the recipient an electronic invoice in one of the regulatory structured formats. |

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|---|---|
| | • When a user wishes to deposit his invoice in PDF format on the public invoicing portal, a data ocerization is carried out to identify the data in the table above. The issuer of the invoice must check, correct and validate the automatically recognized data. The output format is generated in Factur-x format (Basic-WL profile or equivalent).<br>• PDF filing will only be allowed for a transitional period, until 31.12.2027. |

## 4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

| Item | Commentary |
|---|---|
| **Whether outsourcing of invoice issuance (creation) is allowed or not** | • Allowed |
| **Whether statement of outsourced issuance is required on the invoice** | • The following: "*Invoiced by A in the name and on behalf of B*" is recommended, if the outsourcing has not been documented properly between the issuer and the outsourcer |
| **Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf** | • DGFIP considers requiring and explicit written agreement, details to be developed |
| **Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party** | • If the outsourcing agreement is concluded with a third-party established in a country that has a legal instrument on mutual assistance agreement with France:<br>  • The supplier must give a mandate to the third party to issue the invoices in his name and on his behalf<br>  • The outsourcing agreement must be concluded before the subcontractor starts to invoice on behalf of his client<br>  • For PDP only. The outsourcing agreement must entitle PDP to manage customer information in the Central Directly on behalf of the customer<br>  • No other particular formalities are required. It can be written or tacit. However, parties to the agreement must be able to prove its |

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|---|---|
| | existence if the French Tax Administration ask them to do so.<br>• The content of the outsourcing agreement comes under the freedom of contract, what means that parties to the agreement can introduce any disposal they consider relevant in it. |
| **Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance** | • No explicit requirements if the outsourcing party is established in France or another EU Member state |
| **Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer** | • No explicit requirements to OD, as long as it has completed the technical compatibility with PPF or a PDP.<br>• Final details are still to be published by DGFIP. To-date, a number of requirements must be fulfilled in order to become PDP<br>o Established in France or EU Member State,<br>o Required to be able to; forward electronic invoices in structured format to their recipients platform; receive invoices and make them available to their recipients; retrieve and forward mandatory invoice data to the tax authority; receive and control e-reporting data (transaction and payment) and forward it to the tax authority; manage compliance controls on invoices and transaction data before forwarding; manage the processing of statuses for e-invoices; provide the PPF with the information to update the directory<br>o Interoperability with at least one other PDP<br>o Mandatory support of formats (UBL 2.1, CII, Factur-X)<br>o ISO 27001 certification<br>o Certified by an independent party, according to DGFIP's requirements for PDP certification, no later than within 1 year from commencing of PDP operations, meaning it is not required to be in place prior to 1 July 2024<br>o ,<br>o Upon DGFIP approval, the PDP certification is valid for three years at the time and must be renewed<br>o Upon DGFIP approval, PDP will within two months receive PDP ID, which will be registered in Central Directory<br>• Note that a single taxpayer may have several PDPs, depending on its needs<br>• The list of PDP in France will be published in DGFIP here |

## 4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Similar requirements apply to the e-document reception process, especially, as the receiver of an e-invoice in France is required to issue back Invoice statuses.

# 5. Document processing

## 5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

| Item | Commentary |
|---|---|
| **Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties** | Only EN-compliant[4]:<br>• UBL 2.1<br>• CII 3.0<br>• Factur-X[5], only BASIC, BASIC WL, EN and EXTENDED<br>• Peppol BIS 3.0 (allowed currently for B2G) |
| **Other document format(s) commonly used for exchange between trading parties** | • When exchanging e-documents via PDP, other formats can be used upon mutual agreement<br>• Simple PDF will be phased out by 31.12.2027 |
| **Mandated platform(s) required to have connection with for e-document processing** | • PPF (Chorus Pro), or<br>• PDP |
| **Other platform(s) relevant for e-document processing** | • N.a. |
| **Schematron(s), XSD schema or other official mechanisms ensuring document content** | • To be defined by DGFIP |

[4] DGFIP have informed that not EN-compliant formats previously used in B2G e-invoicing will become obsolete

[5] All invoice data must be carried by the readable PDF whereas the structured data file contains only the information necessary to automate the processing of the invoice by the recipient. Thus, the structured data file can only contain information present in the readable PDF but it may not contain all of this information, especially if it is not automatically usable.

| | |
|---|---|
| **Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange** | • Taxpayer ID and PDP ID are kept and updated in the Central Directory |
| **Other technical aspects** | • DGFIP have not strictly defined the interoperability requirements between PDP's. It is, however, a good practice to follow the Interoperability Charter established by the FNFE-MPE |

## 5.2. Communication with with PPF

Regulations in France foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

| Communication options | Commentary |
|---|---|
| **Automated** | • **Connection via PDP**. By contracting PDP, the taxpayer can agree on the communication protocol and format with the selected PDP, who will have the responsibility to ensure compliance with PPF requirements. The PDP will not send the complete e-document to PPF, but merely the minimum data mandated by DGFIP.<br>  o PDP connection enables taxpayers to fulfil e-invoicing obligation and could enable them to fulfil e-reporting obligations.<br>  o The taxpayer may choose to connect with PDP directly or via OD.<br>• **Connection via OD**. The taxpayer may use an intermediary that is integrated with PPF or PDP without being certified. In such a case, the taxpayer may agree with OD on the communication protocol and format they prefer. OD may or may not support the taxpayer with compliancy.<br>• **Direct connection to PPF**. The taxpayer may integrate directly with PPF. In this case, it must follow the communication protocol established by PPF (e.g. AS2, AS4, SFTP and API) and any of the supported formats.<br>• **Connection via Peppol**. As Chorus have been offering the possibility to exchange e-documents via the Peppol Network, the taxpayer may be able to utilise such capabilities. In such a case, the taxpayer may agree with its preferred Peppol SP or Peppol SP contracted by AIFE on the communication protocol and format they prefer, and it will be the responsibility of Peppol SP to ensure compliance with Peppol requirements.<br>  o Peppol connection have enabled taxpayers to fulfil B2G e-invoicing obligations, this however is no longer going to be the case as it currently stands. Whether this will be allowed in the future for B2G and B2B remain to be seen. |
| **Manual** | • **PPF portal**. Small taxpayers lacking automation capabilities will be able to log onto the PPF portal to handle their e-invoicing and e-reporting manually.<br>• All types and sizes of taxpayers may use the PPF portal in order to fulfil their e-reporting obligations |

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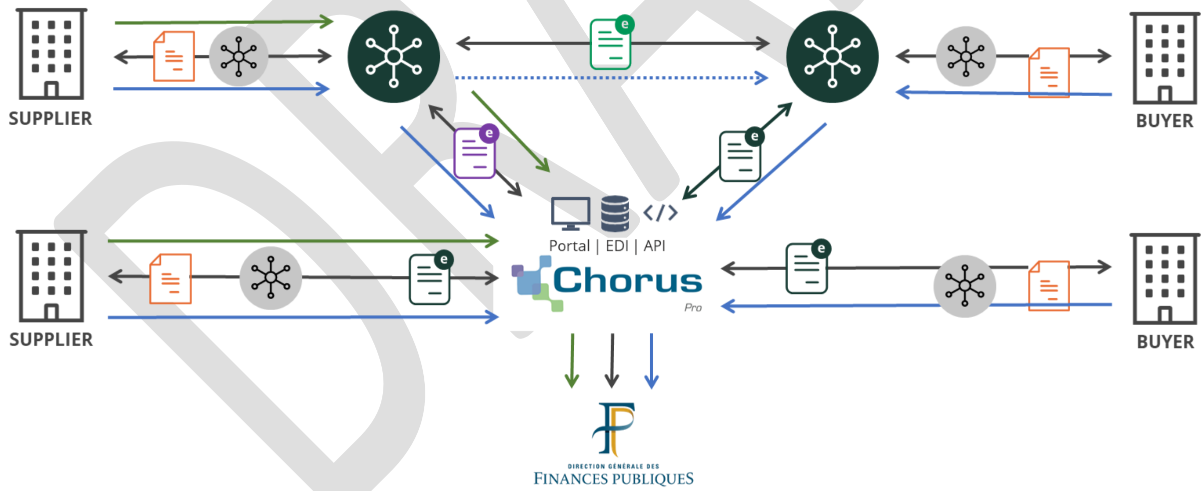
|---|---|
| **Other options** | • Currently, for B2G e-invoicing, PPF provides scanning option for the smallest businesses. This feature will however be discontinued. |

## 5.3. E-invoicing vs. e-reporting

In the light of the complexity and granularity of the French CTC requirements, the table below represents an overview of type of transactions included in the model, as well as which mechanism may be used by the taxpayer in order to fulfil the CTC obligations.

| Types of transaction | Type of prescribed mechanism |
|---|---|
| **B2B invoice:** domestic | E-invoicing |
| **B2B Invoice status**[6] | E-invoicing |
| **B2B invoice:** international outbound (sales) | E-invoicing[7] or e-reporting[8] |
| **B2B invoice:** international inbound (purchase) | E-invoicing or e-reporting |
| **B2C invoice / receipt** | E-invoicing or e-reporting |

The possible e-invoicing and e-reporting can be visualised in the following process flow:

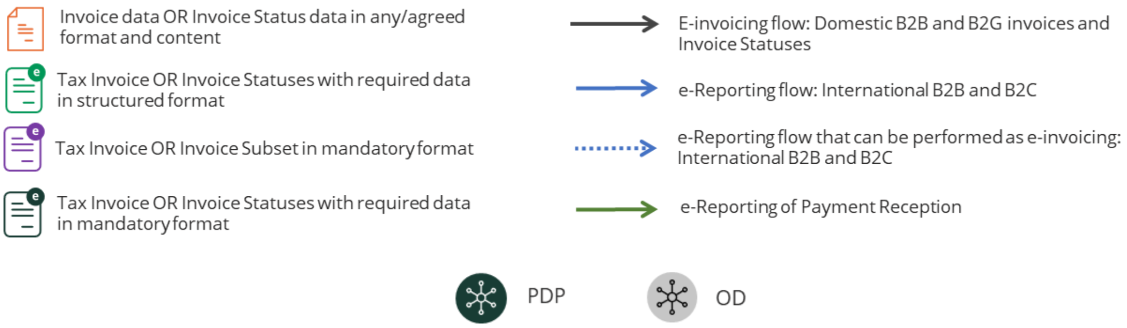





[6] Along with introduction of the mandatory use of the Invoice status for B2B e-invoices, the same will be introduced for the existing mandate on B2G e-invoices

[7] For the difference between e-invoicing and e-reporting in the French context, please refer to the Terminology section. Besides the actual exchange of the document between the trading parties, it refers as well to the frequency and structure of the data reported to PPF/DGFIP, where under the e-invoicing schema, the data is reported transaction-by-transaction, while under the e-reporting schema data is accumulated and reported on aggregated level.

[8] e-Reporting should be used for international B2B and B2C transactions, where transmission of e-invoices is not possible or suitable.




Additional information on e-reporting:

- The e-reporting obligation does not replace the DEB and DES reporting obligations.
- If a taxpayer decides to utilise e-reporting mechanism, **different format requirements** will apply compared to the e-invoicing flow

## 5.3.1. Reporting frequency

The frequency and deadlines of transmission of the data were specified in the regulatory texts published on 9 October 2022.

Enterprises must transmit transaction and payment data to their platform within a given period. This period is specific to each VAT tax regime.

| | Transmission of transaction data | | Transmission of payment data | |
|---|---|---|---|---|
| | **Deposit frequency** | **Deposit deadline** | **Deposit frequency** | **Deposit deadline** |
| **Enterprises subject to real normal monthly regime** | **By decade**<br>Three one-month deposits:<br>- period 1: days 1 to 10 of the month<br>- period 2: days 11 to 20 of the month<br>- period 3: day 21 to the end of the month | 10 days after the end of the period, i.e.:<br>- period 1: day 20 of the month<br>- period 2: day 30 of the month<br>- period 3: day 10 of the following month | Monthly | Before day 10 of the following month |
| **Enterprises that have opted for the real normal quarterly regime*** | Monthly | Before day 10 of the following month | | |
| **Enterprises subject to the simplified VAT regime** | Monthly | Between days 25 and 30 of the following month at the latest | Monthly | Between days 25 and 30 of the following month at the latest |
| **Enterprises benefiting from the VAT exemption scheme** | Bimonthly<br>(every 2 months) | Between days 25 and 30 of the month following the end of the period at the latest | Bimonthly<br>(every 2 months) | Between days 25 and 30 of the month following the end of the period at the latest |

**Enterprises paying less than €4,000 in VAT per year*

## 5.4. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

### 5.4.1. Domestic

This section describes the process for documents created to be transmitted within the given country. There are two different option to issue an e-invoice, either sending it directly via PPF or via a PDP.

**<u>Issuance via PDP</u>**[9]

1) **The supplier** must generate invoice data according to DGFIP minimum mandatory content requirements and provide it to PDP[10]
    a. The minimum mandatory content requirements will vary between domestic and international B2B transactions, B2G transactions and B2C transactions.
    b. The supplier and PDP may freely agree on the communication protocol and format to be used between the parties. PDPs are, however, required to accept all minimum mandatory formats established by DGFIP.
    c. The supplier may provide any other information in the invoice including attachments.
2) **The supplier** must submit invoice data to PDP as soon as the supply has taken place.
3) **PDP**, once it has received the invoice data, will perform a number of actions:
    a. Validate the content of the invoice data and
        i. **If unsuccessful**, will reject the submission to the supplier to rectify any errors. An invoice that has not passed the validations by PDP (as defined by DGFIP) does not have any fiscal value.
        ii. **If successful**, will proceed with other actions.
    b. Look up the recipient in the Central Directory using the Recipient ID provided by the supplier
        i. **If the recipient is behind PDP**, then it will produce Tax invoice according to the technical requirements, incl. format, of the end recipient as specified in the Central Directory.
        ii. **If the recipient is behind PPF/OD**, then it will produce Tax invoice according to the technical requirements, incl. format, of PPF and submit complete Tax invoice to PPF for further distribution
        iii. **If the recipient is non-electronic** (for instance an international business or a consumer), upon agreement with the supplier, PDP can produce the Tax invoice in agreed format, e.g. PDF, to such end-recipient.
    c. Ensure I&A by any of the allowed means: reliable audit trail, e-signature, EDI or combination of any,
    d. Ensure legibility of the Tax invoice
    e. Distribute the Tax Invoice



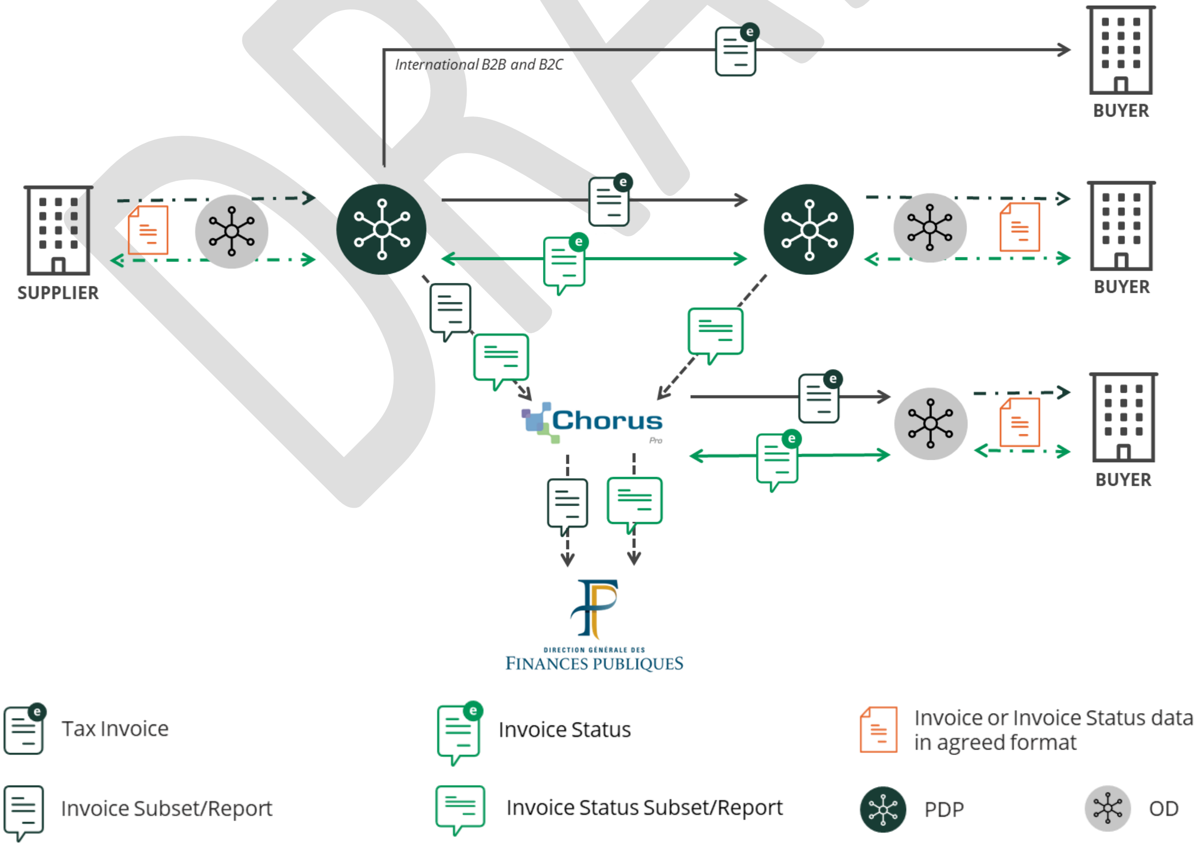
[9] Note that unlike the OD/PPF flow, PDP flow can be used to issue, exchange and report B2B (domestic and international) transactions, B2G transactions and B2C transactions (except of cash register, that requires varying treatment).

[10] Note that the taxpayer does not have to be directly connected with PDP, instead the connection is as well possible via an intermediary OD

i. **If the recipient is behind PDP**, per the end-recipient requirements registered in the Central Directory alt. according to minimum requirements established by DGFIP.
ii. **If the recipient is behind PPF/OD**, per PPF requirements.
iii. **If the recipient is non-electronic**, per agreement between the supplier and the end-recipient, e.g. PDF by e-mail.

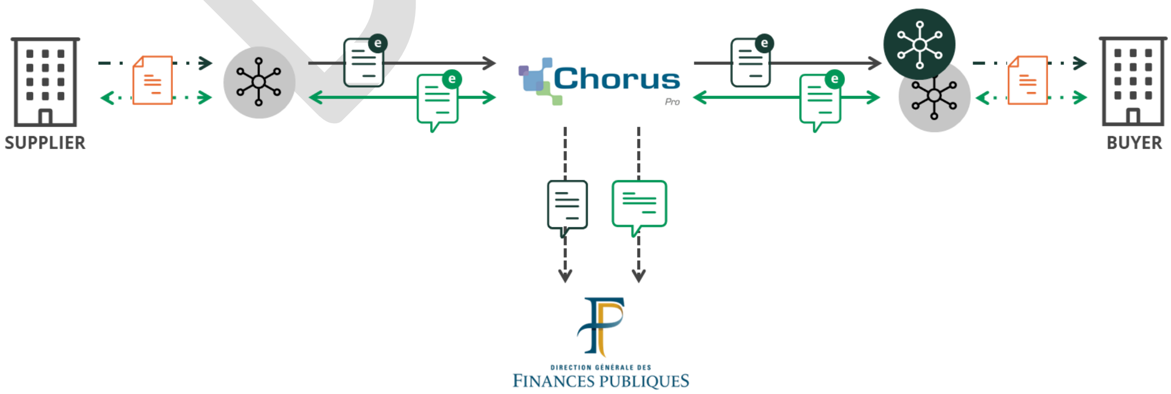
f. Generate and submit to PPF without delay the necessary subset of the Tax invoice, depending on transaction type (Invoice Subset), which in turn reports these to DGFIP for fiscal monitoring.
   i. PPF will respond to PDP with a receipt acknowledgement

4) Along with this, **supplier** is required to issue, exchange and receive various Invoice Statuses for Domestic B2B and B2G invoices, which indicate the life cycle of a Tax invoice from business perspective.
   a. Such Invoice statuses are required to be exchange between the trading parties and their respective PDPs and reported to PPF, which in turn reports these to DGFIP for fiscal monitoring.
   b. The supplier is as well required to submit Payment received Invoice Status, where relevant, for International B2B and B2C invoices.
5) **The supplier** may not send Tax invoice for Domestic B2B and B2G transactions directly to the customer, outside of PDP or PPF flows.



<u>**Issuance via OD/PPF**</u>

1) **The supplier** must generate Tax Invoice ensuring the following requirements:
    a. Minimum mandatory content requirements prescribed by DGFIP,
        i. Additional content requirements apply to B2G e-invoices
    b. Integrity and authenticity (I&A), which can be reliable audit trail, e-signature, EDI or combination of any,
    c. Format(s) accepted by PPF
2) **The supplier** must submit Tax invoice to PPF for validation following any of the offered communication protocols, e.g. AS2 or API.
    a. An invoice must be issued as soon as the supply has taken place
3) **PPF**, once it has received the Tax invoice, will validate it and respond to the supplier no later than xxxx
    a. **If approved**, then xxxxxxx. PPF will as well report VAT subset of the Tax invoice to DGFIP for fiscal monitoring. Only approved Tax invoice has fiscal value.
    b. **If rejected**, then xxxxxx. The supplier will have to rectify the rejection reasons and resubmit the invoice for approval. Only e-invoice approved by PPF has fiscal value, therefore no Corrective invoice is required to amend such rejected transaction. A rejected Tax invoice must be resubmitted within xxxx.
4) **PPF**, if it has approved the Tax invoice, will look up the recipient in the Central Directory using the provided Recipient ID in order to identify who to deliver the Tax invoice to PDP, OD or customer directly.
5) Along with this, **the supplier,** is required to issue, exchange and receive various Invoice statuses, which indicate the life cycle of a Tax invoice from business perspective.
    a. Such Invoice statuses are required to be exchange between the trading parties via PPF, which in turn reports these to DGFIP for fiscal monitoring.
6) **The supplier** may not send Tax invoice to the customer in any other way if they have opted in the flow via PPF.



Tax Invoice | Invoice Status | Invoice or Invoice Status data in agreed format

Invoice Subset/Report | Invoice Status Subset/Report | PDP | OD

## 5.4.2. international

This section describes the requirements for cross-border outbound documents such as sales invoices

If the supplier opts in for e-invoicing as the mechanism to fulfil the obligation to submit information on international sales invoices to DGFIP, then the process will look as follows:

**Issuance of international sales invoices via PDP:**

As mentioned above, if the taxpayer decides to utilize PDP, it should look for a provider that can support issuance and reporting as a single flow form the taxpayer perspective, meaning once the taxpayer provided the required data to the PDP, the PDP will both issue the Tax Invoice to the buyer and Invoice Subset to the PPF.

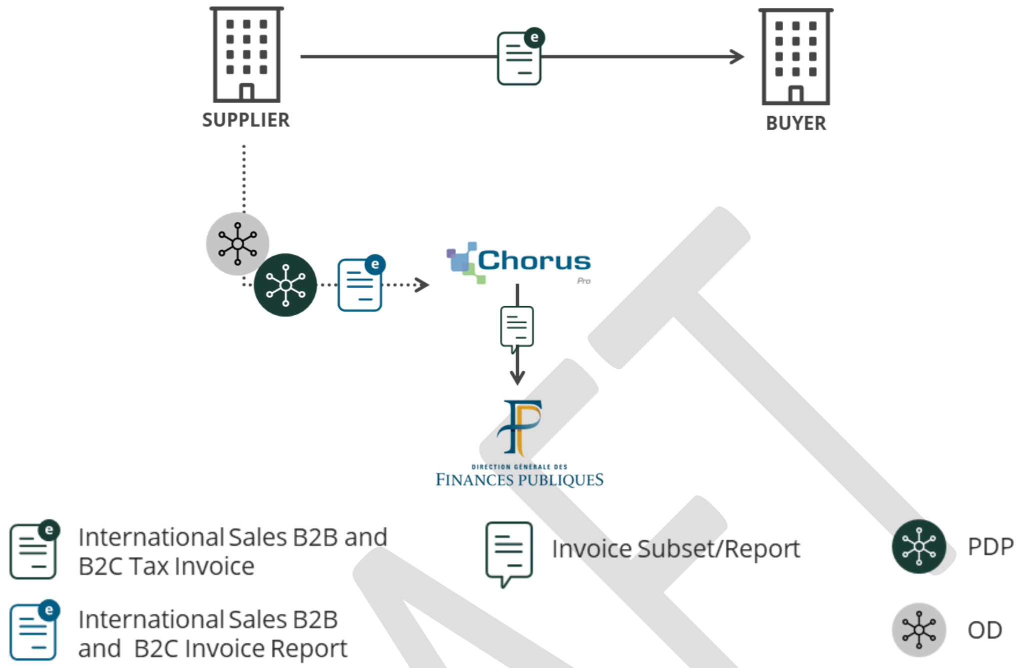
In this event, domestic and international B2B invoicing will from the taxpayer perspective function similarly (primary difference will be the mandatory content of such invoice, e.g SIREN is not required for a foreign buyer, but instead either VAT or registration number), which supports operational efficiency and limits the overall invoicing costs.

For illustration see flowchart for PDP under section 5.4.1.

**Reporting of international sales invoices via OD/PPF**

1) **The supplier** first issues and distributed the Tax Invoice to foreign buyer (either by himself or using an external provider) according to the agreement between the parties
2) **The supplier** must then generate Invoice Report ensuring the following requirements:
    a. Minimum mandatory content requirements prescribed by DGFIP. Same data as for e-invoicing, except for the SIREN number of the taxable person not established in France. The intra-Community VAT number or a foreign number will replace the SIREN if necessary.
    b. Integrity and authenticity (I&A), which can be reliable audit trail, e-signature, EDI or combination of any,
    c. Format(s) accepted by PPF
3) **The supplier** must submit Invoice Report to PPF for validation following any of the offered communication protocols, e.g. AS2 or API.
    a. An Invoice Report must be reported as soon as the Tax Invoice has been issued
4) **PPF**, once it has received the Invoice Report, will validate it and respond to the supplier no later than xxxx

a. **If approved**, then xxxxxxx, PPF will as well pass the Invoice Subset to DGFIP for fiscal monitoring.
b. **If rejected**, then xxxxxx.



### 5.4.3. B2C

If the supplier opts in for **e-invoicing as the mechanism via PDP** to fulfil the obligation to submit information on B2C transactions (not cash register), the process would, in principle, follow the description above on the International B2B sales invoices, but with even less mandatory content that must be present on Tax Invoice and Invoice Subset. See flowchart for PDP under section 5.4.1.

The only consideration that should be taken into account here is that a consumer, as opposed to a business customer, will in majority of the cases prefer to receive a legible invoice, e.g. in PDF or paper, and not a structured e-invoice as the case may be between business parties.

Would the taxpayer prefer to **report these transactions on periodic basis** as a secondary additional process to invoicing, this is possible as well **via PDP, OD and PPF** directly. None of the UBL, CII nor Factur-X formats may be used for such periodic reporting (only for transactional reporting); instead a separate local XML must be used for this purpose.

For illustration see flowchart for OD/PPF under section 5.4.2.

## 5.5. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

### 5.5.1. Domestic

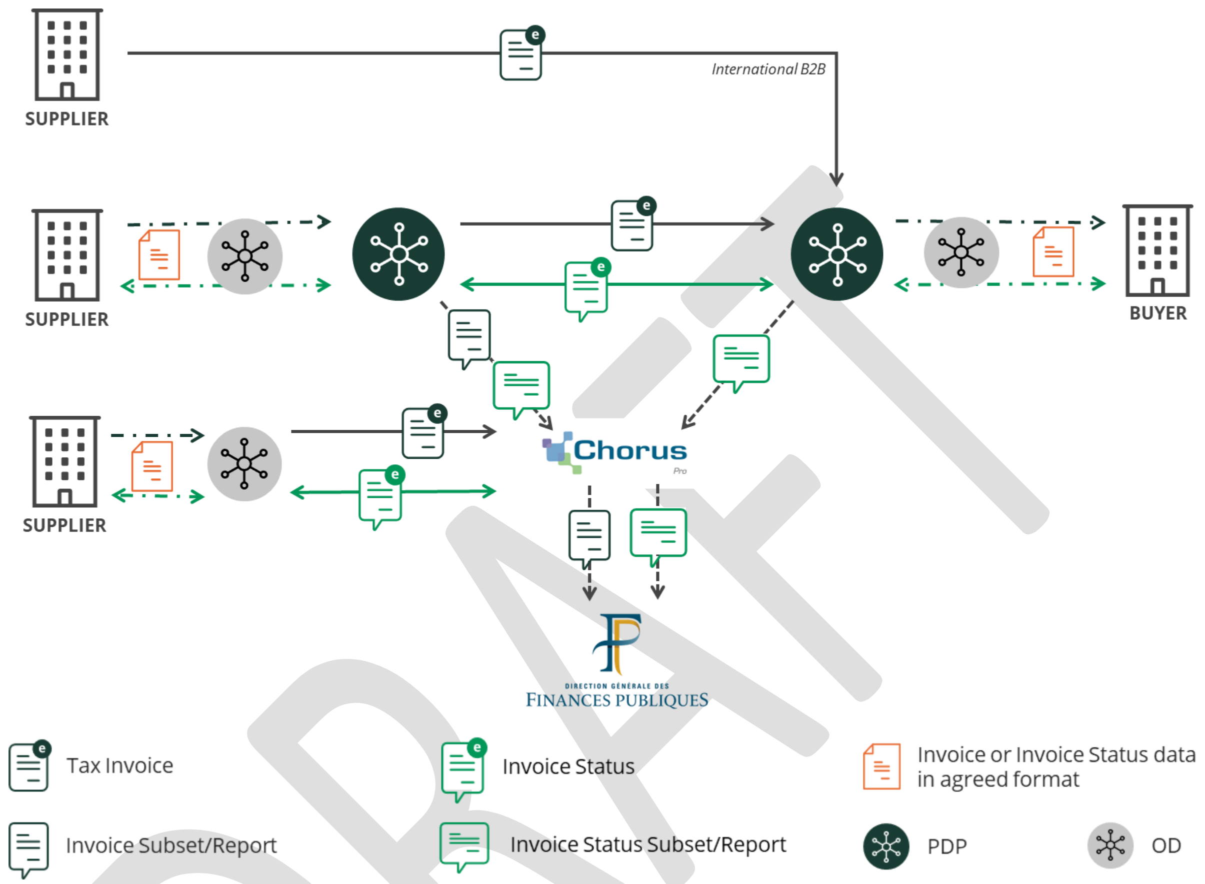
This section describes the process for documents received for purchases or transactions within the given country

Similar to the issuance process, the French Y-model allows the buyer to select their preferred method for e-invoice reception. Therefore, we will present the reception process separately for each method.

**Reception via PDP**

1) **The buyer** when integrating with PDP is able to agree on the technical requirements for such connection, including what format of the Tax invoice or invoice data it wishes to receive.
    a. In this context, it is important to note that each PDP is required to receive Tax invoices in all formats mandated by DGFIP.
2) **PDP** is required to ensure legibility of the Tax invoice received in a machine readable format, as well as ensure I&A of the Tax invoice.
3) **The buyer**, upon reception of the e-invoice, is required to issue, exchange and receive various Invoice Statuses, which indicate the life cycle of a Tax invoice from business perspective.

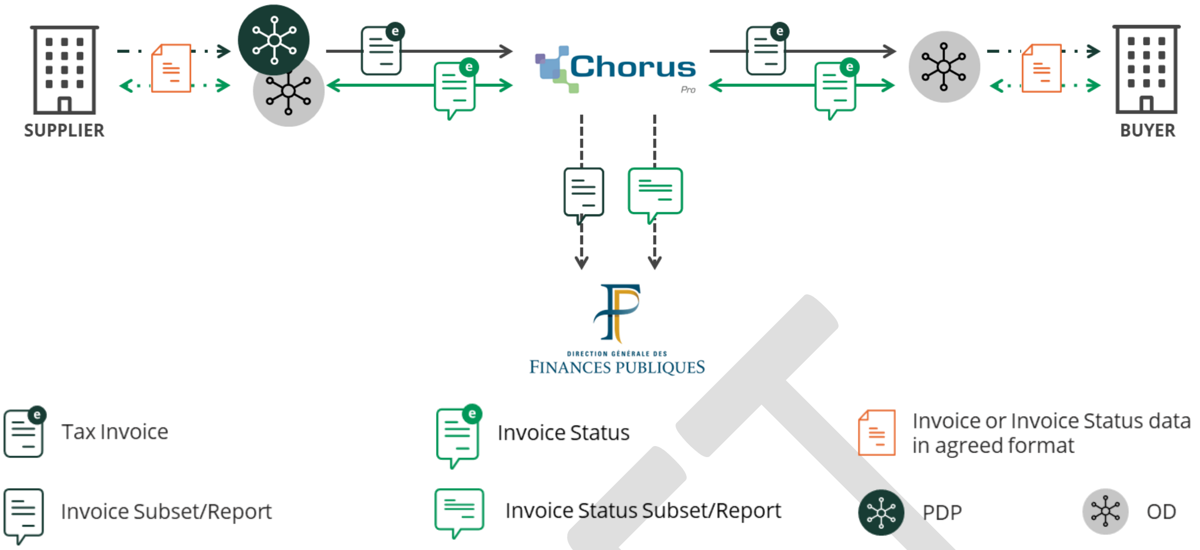
a. Such Invoice Statuses are required to be exchange between the trading parties via PDP and with PPF, which in turn reports these to DGFIP for fiscal monitoring.
b. More information on these Invoice Statuses is available section 5.6.




## Reception via OD/PPF

1) **The buyer** must integrate with PPF either directly or via OD
   a. **If via OD**, the responsibility to ensure the connectivity and format requirements of PPF resides with OD, while between the OD and the customer, the parties may agree on other specifications
   b. **If via PPF**, the customer must be able to connect with PPF according to the determined connectivity protocol, e.g. AS2 or API, and ensure the capability to receive Tax invoice in the format provided by PPF
2) **The buyer**, upon reception of e-invoice, is required to issue, exchange and receive various Invoice Statuses, which indicate the life cycle of a Tax invoice from business perspective.
   a. Such Invoice Statuses are required to be exchange between the trading parties via PPF, which in turn reports these to DGFIP for fiscal monitoring.
   b. More information on these Invoice statuses is available later in the CCR.

3) Exchange and reception outside of PPF is not permitted.




## 5.5.2. International

This section describes the requirements for cross-border inbound documents such as purchase invoices.

In France, the local buyer is given two mechanisms to provide information on international purchase invoices to DGFIP:

1) on transactional level via PDP and the e-invoicing mechanism, or
2) on aggregated level via OD/PPF/PDP and the e-reporting mechanism.

**Transactional reporting via PDP:**

From the perspective of a French buyer, who already issues e-invoices and would like to use PDP to report international purchase invoices on transactional level, the process will look fairly similar to issuance of domestic B2B e-invoices, with the only differences:

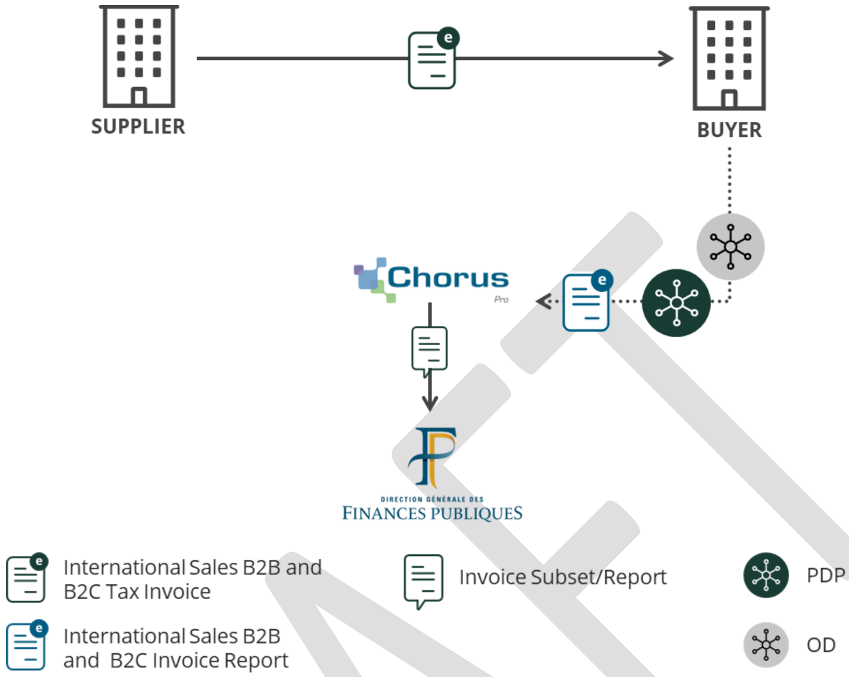
1) The same content requirements as for Domestic B2B invoices, with replacement of SIREN with MS VAT number or foreign registration number, and
2) Purchase invoice submitted in such a way is not required to be distributed.

PPF will report this data further to DGFIP for fiscal monitoring.

For illustration see flowchart for PDP under section 5.5.1.

**Aggregated reporting via OD/PPF/PDP:**

Such reporting will largely follow what is described above for aggregated reporting of B2C transactions, see section 5.4.3.




## 5.6. Invoice Lifecycle Statuses

An important component of the French CTC mandate is the requirement for both trading parties – the buyer and the supplier – to issue, exchange and receive Invoice Statuses for Domestic B2B and B2G invoices. The goal of DGFIP is to the able to monitor the full life cycle of invoices from the moment they have been issued to the moment they have been accepted or rejected for commercial considerations and finally paid.

The table below represent draft Invoice statuses and division of responsibilities between the involved parties in terms, who is responsible to generate which type of Invoice status. Please note that the supplier and the buyer may use external parties such as PDP or OD to help them generate statuses assigned to them by the French regulator.

| Code | Status | Status generation | Explanation | Implementation | Party |
|---|---|---|---|---|---|
| **200** | **Submitted** | Automatic | Notifying that the supplier has issued the e-invoice | Mandatory | Supplier |
| **201** | **Issued by PF**[11] | Automatic | Notifying that supplier's PF has issued the e-invoice | Optional | Supplier's PF |

[11] DGFIP uses "PF" to mark any of "PDP" or "PPF".

| | | | | | |
|---|---|---|---|---|---|
| **202** | **Received by PF** | Automatic | Notifying that the buyer's PF has received the e-invoice, but not yet made it available to the buyer | Optional | Buyer's PF |
| **203** | **Made available** | Automatic | Notifying that the buyer's PF has received the e-invoice and made it available to the buyer | Recommended | Buyer's PF |
| **204** | **Received** | Manual | Notifying that the buyer has received, but not yet approved the e-invoice | Recommended | Buyer |
| **205** | **Approved** | Manual | Notifying that the buyer fully approved the received e-invoice | Recommended | Buyer |
| **206** | **Approved partially** | Manual | Notifying that the buyer partially approved the e-invoice. Partial approval may give rise to a credit | Recommended | Buyer |
| **207** | **Disputed** | Manual | Notifying that the buyer is disputing the received e-invoice | Optional | Buyer |
| **208** | **Suspended** | Manual | Notifying that the buyer suspends the received e-invoice due to lack of supporting document(s). Invoice data remains unchanged | Optional | Buyer |
| **209** | **Completed** | Manual | Notifying that the supplier has added attachment or comment to the "Suspended" e-invoice | Optional | Supplier |
| **210** | **Refused (business)** | Manual | Notifying that the buyer has rejected the received e-invoice for business reasons (no timeline for when earliest or latest this status must be issued has been specified) | Mandatory | Buyer |
| **211** | **Payment transmitted** | Manual | Notifying that the payment to the supplier has been initiated | Recommended | Buyer |
| **212** | **Payment received** | Manual | Notifying that the supplier has received the payment | Mandatory | Supplier |
| **213** | **Rejected (technical)** | Automatic | Notifying that the buyer's PF rejects the e-invoice for technical reasons (e.g. format, etc.) | Mandatory | Buyer's PF |

## 5.7. Central Directory

The purpose of the Central Directory (the "**Directory**") is to enable businesses to automatically identify the recipient of the data and their receiving capabilities and requirements.

All taxpayers will have to register in the new Directory. If operating via PDP, it will be the responsibility of such PDP to keep data in the Directory updated.

A newly registered company will be listed in the Central Directory with an intermediate status to enable it to receive invoices from its suppliers. Once DGFIP has verified the capabilities to receive e-invoices of the company, it will modify the status in the Directory.

**Data available in the Directory**

The Directory is structured around 3 categories of data:

| Recipient information | Platform identification | B2G management information |
|---|---|---|
| Address line code | Flag (PPF/PDP/empty) | Legal commitment management |
| SIREN number | Number | Service management |
| Company name | Label | Legal or service commitment management |
| SIRET number | Contract details | MOA |
| Routing code | Date from | MOA only |
| Routing code label | Date by | Management of payment status |
| Routing code label | Date by | Management of payment status |
| Routing code type | Status (active/inactive) | |
| Invoice line status | | |

**Recipient ID**

Depending on the business needs and on the possible granularity of the identification, the businesses can choose to identify themselves with 3 unique values:

- Legal identifier: SIREN,
- Establishment identifier: SIRET, and
- Unit identification with a routing code, e.g. service code, GLN number, etc.

Directory structure with SIREN:

- SIREN + PPF or PDP

Directory structure with SIRET:

- Single SIRET

- SIREN + SIRET + PPF or PDP
- Multiple SIRET
  - SIREN + SIRET 1 + PPF or PDP1
  - SIREN + SIRET 2 + PPF or PDP2
    - *1 and 2 indicate that a company might have multiple PDP providers for different establishments*

Directory structure with routing code:

- SIREN + SIRET 1 + Routing code A (e.g. GLN) + PPF or PDP1
- SIREN + SIRET 1 + Routing code B (e.g. ODETTE) + PPF or PDP2
- SIREN + SIRET 2 + Routing code C (e.g. ODETTE) + PPF or PDP2
  - *The same establishment might have multiple Routing codes and PDPs*

**Dematerialization operators outside PDP**

Non-PDP dematerialization operators (ODs) are not identified in the directory. Only PDPs are.

Non-PDP dematerialization operators (ODs) can act as intermediaries:

- When issuing invoices between the supplier and its issuing platform: they are thus identified on the issuing platform (PDP or PPF) via a connection initiated by the supplier or supplier's intermediary.
- Upon receipt of invoices between the customer and his receipt platform: they are identified on the receipt platform (PPF or PDP) via a connection initiated by the buyer or buyer's intermediary.



**Roles and responsibilities**

| Party | Roles and responsibilities |
|---|---|
| **Taxpayer** | • Select the structure for the Recipient ID<br>• Register themselves<br>• Register supported document types and formats<br>• Add and change PDP(s)<br>• Set validity period for selected PDP(s)<br>• Look up information on other end recipients |
| **PPF** | • Deploy and maintain the Central Directory<br>• Initial prepopulation of the data on end recipients, incl. Their SIREN and SIRET numbers |
| **PDP** | • Update information on recipients that have contract signed with the named PDP<br>• Look up information on other PDPs<br>• Look up information on end recipients |
| **OD** | • Look up information on end recipients |

## 5.8. PPF/PDP validations

Some tax regimes require businesses to send tax documents to a predetermined mandatory infrastructure either before, or shortly after issuing invoices.

In France, these obligations reside with the PPF, but should be performed by PDP for those taxpayers, who opt for PDP as their e-invoicing intermediary.

| Validation type | Validation detail | Validation outcome |
|---|---|---|
| **Technical validations** | • Anti-virus validations<br>• Empty file validations<br>• Type and extension validations<br>• Signature validations<br>• Duplicate validations<br>• Size control of the stream and of each file | • Inadmissible |
| **Application validations** | • Syntax validation (UBL, CII, FacturX) | • Inadmissible |
| **Functional validations** | • Semantic validations<br>• Duplicate validations<br>• Data consistency validation (codes and repositories)<br>• Addressing validations (directory) | • Rejeced<br>• Rejected<br>• Rejected<br>• Refused |
| **Business validations** | • Validations by the recipient | • Refused |



## 5.9. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

To-date, in France, to distinguish **duplicate invoices** from originals, the following wording must be used:

- "Copy issued at the request of the buyer" in French «*copie délivrée à la demande de l'acheteur*»;
- "Copy issued in replacement of the original misplaced or destroyed" in French «*copie délivrée en remplacement de l'original égaré ou détruit*»

One can use the word "duplicate" in French «*Duplicate*» instead of "copy" (copie). What matters is that the replacement document bears all the information on the original but also a clear indication that it is a copy, intended to replace or replicate the original.

We do, however, expect that the above requirement will be amended in the light of the upcoming CTC implementation in France.

## 5.10. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

- **Domestic B2G and B2B invoices, and Invoice Statuses**: may only be exchanged electronically either via PPF or PDP. In other words, methods like e-mail may not be used; as well simple PDF will be finally phased out by 2027, but effectively starting from July 2024. To facilitate such electronic exchange, the trading parties should identify each other in the Directory.
- **International B2B invoices, and B2C invoices/receipts**: may be distributed in any way and form parties have agreed, e.g. in structured format via EDI or interoperability, as PDF over e-mail, as printed representation, etc.

## 5.11. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

| Rectification process | |
|---|---|
| **What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice** | • Corrective document<br>• Corrective invoices and credit note / new invoice are allowed |
| **What are the options to correct an invoice if the customer returns the goods** | • Credit note |
| **What are the options to correct an invoice if the customer paid too much** | • Debit note |
| **What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer** | • Corrective document<br>• Corrective invoices and credit note / new invoice are allowed |
| **What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.** | • Corrective document<br>• Corrective invoices and credit note / new invoice are allowed |
| **Other scenarios with different correction option** | • It is also possible to cancel the wrong invoice via a credit note and to issue a new invoice |
| **Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)** | • Supplier |
| **Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document** | • No |

## 5.12. Coexistence of paper and electronic invoices

| Item | Commentary |
| --- | --- |
| **Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it** | • Not allowed for B2G transactions<br>• Will not be allowed for domestic B2B transactions gradually starting from July 2024<br>• The copy of the invoice must be marked as "copy" to distinguish it from the original invoice. For more information, see section 5.9 |
| **Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving** | • Allowed |
| **Whether any conditions apply, and which, to the dematerialisation** | • The reproduction must be identical to the paper invoice,<br>• The digitalized document must be in PDF or PDF/A3 format,<br>• I&A ensured with RGS eSignature or Qualified eSignature / eSeal with a time stamp<br>• Correctly dematerialized paper invoices may be destroyed |
| **Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving** | • Domestic B2B and B2G transactions<br>  o Will be prohibited gradually starting from July 2024<br>• Other transaction types<br>  o Not prohibited |
| **Whether any conditions apply, and which, to the materialisation** | • It is required that the trading partners have in place a written process, clearly defining i.e. which document the paper, or the electronic invoice will be deemed as the original invoice valid for IT purposes<br>• The e-invoice must be kept for at least 3 years in its original electronic format. After the next 3 years, the company can choose a storage medium of its choice. It is possible at this stage to convert it to paper format |

## 5.13. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

No information has been published by DGFIP in this respect as of yet.

# 6. Document content requirements

## 6.1. Document types

| Item | Commentary |
|---|---|
| **Documents mandatory for issuance by supplier** | • Complete invoice *(Facture)*<br>  ○ Invoice already paid<br>  ○ Invoice with down payment<br>  ○ Invoice for partial delivery<br>  ○ Invoice created by sub-contractor<br>  ○ Collective invoice (incl. for several purchase orders)<br>  ○ Any cross-border sales invoice<br>• Simplified invoice<br>• Invoice Lifecycle Statuses |
| **Documents mandatory for issuance by buyer** | • Self-billed invoice<br>• Invoice Lifecycle Statuses<br>• International B2B purchase invoice (reporting) |

| Item | Commentary |
|---|---|
| **Self-billing allowed** | • Yes |
| **Simplified invoice allowed** | • Allowed if the amount of the invoice excl. tax does not exceed EUR 150<br>• When the amount of the service is less than EUR 25 and the buyer (end consumer) does not request the invoice/ticket, the supplier is not required to issue it. |

## 6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

### 6.2.1. Document numbering by the taxpayer

| Item | Commentary |
|---|---|
| **A sequential number, based on one or more series, which uniquely identifies the invoice** | • Yes |
| **Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)** | • Yes, French tax authorities indicate that the numbering of invoices can be established using separate series when the conditions of the activity of the taxable person justify it. The taxable person must make use of the separate series in accordance with its initial justification. |
| **Allowed to start a new sequential numbering every year** | • Yes |
| **Worldwide numbering on legal entity level allowed provided that gaps can be explained** | • Yes, |
| **Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)** | • Yes |

### 6.2.2. Additional document numbering by PPF/PDP

There is no additional numbering assigned to documents processed by PPF or PDP, that the taxpayers have to keep track of or apply to the exchanged documents.

## 6.3. Indirect tax (IT)[12] rates

This section illustrates the applied IT[13] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

| **Indirect tax rates** | | |
|---|---|---|
| **20%** | **Standard** | All other taxable goods and services. |
| **10%** | **Reduced** | Some foodstuffs; some pharmaceutical products; domestic passenger transport; intra-community and international road (some exceptions) and inland waterways transport; admission to amusement park (with cultural aspect); pay/cable TV; some renovation and repairs of private dwellings; some cleaning in private households; some agricultural supplies; hotel accommodation; restaurants (excluding alcoholic beverages); some domestic waste collection; certain domestic care services; firewood; take |

[12] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[13] Local name "*Taxe sur la valeur ajoutée*" (TVA)

| | | |
|---|---|---|
| | | away food; bars, cafes and nightclubs; cut flowers and plants for decorative use. |
| **5,5 %** | **Reduced** | Some foodstuffs; water supplies, medical equipment for disabled persons; books (excluding those with pornographic or violent content); e-books; admission to certain cultural events; writers and composers; some social housing; admission to sports events; some domestic care services; cut flowers and plants for food production. |
| **2,1%** | **Reduced** | Some pharmaceutical products; some newspapers and periodicals; TV licence. |
| **0%** | **Zero rate** | Specified financial transactions, exports of goods outside the EU and related services, Intra-Community supplies of goods |
| | **Exempt** | Land under specific conditions, financial transactions, buildings completed for more than five years, insurance, education, health and welfare, betting and gaming |

For IT purposes, the territory of France includes Corsica and Monaco. The Overseas Dependencies of Guadeloupe, Martinique and Réunion are considered to be non-EU countries, although French IT is applicable in these territories (with specificities). IT does not apply in French Guiana and Mayotte. Following special rates apply to these territories:

**E) <u>Corsica</u>**

- Standard rate is 20% (the same as in the rest of the country),
- Reduced rates:
  - 13% - petroleum products,
  - 10% - certain work on immovable property, agricultural equipment, certain supplies of furnished lodging, and sales for consumption on the premises, sales of electricity supplied at low voltage,
  - 2,1% - some goods supplied in Corsica and some services to which the reduced rates are applicable in mainland France,
  - 0,9% - the first performances of some shows, sales of live meat and charcuterie animals to persons not liable to pay tax.

**<u>b) DOM</u>**

Overseas departments of Guadeloupe, Martinique and Réunion:

- Standard rate is 8,5%,
- Reduced rate of 2,1% applies to the supplies of goods and services that are subject to the 5,5% rate in mainland France,
- Special VAT rate of 1,75% applies to the sale of livestock to non-taxable persons,
- Special VAT rate of 1,05% applies to periodicals.

**<u>c) Monaco</u>**

Goods and services supplied to or from the Principality of Monaco are regarded as having been supplied to or from France.

### 6.3.1. TICPE

The **domestic consumption tax on energy products (TICPE)**, formerly the "domestic consumption tax on petroleum products" (**TIPP**), is a domestic consumption tax levied in France. It concerns certain energy products, in particular those of petroleum origin. It is an excise duty levied on volumes. The rates for this tax are set by Parliament and depend on fluctuations in oil prices.

## 6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of France. Please note that other additional content requirements might apply in addition, i.a. of technical character.

| General | |
|---|---|
| **Required to mention the word "invoice"** | • No, but recommended |
| **Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:** | • No<br>• But the French tax authorities are entitled to claim a translation |
| **Sequential numbering** | • Yes |
| **Required to mention copy or duplicate in case a copy is issued** | • No, but recommended |
| **Reference in case of outsourced issuance** | • Invoices must clearly indicate that they are issued in the name and on behalf of the supplier |

| Supplier data | |
|---|---|
| **Full legal name of the supplier** | • Yes |
| **Allowed to abbreviate or shorten the legal name of the supplier** | • No |
| **Full address of the supplier in country of establishment** | • Yes |
| **Allowed to mention the PO box address instead of the legal address of the supplier** | • Yes, provided that the legal address is clearly indicated as well |
| **IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes** | • Yes, SIREN number or VAT intra-community number. |
| **IT identification number of the supplier in the country of establishment** | • Yes<br>• SIREN number |
| **Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)** | • Yes |

| | |
|---|---|
| **Legal form of the supplier** | • Yes, according to the commercial law. |
| **Trade register number of the supplier** | • Yes, according to the commercial law. |
| **Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)** | • Yes, according to the commercial law. |
| **Place of legal seat of the supplier (Headquarters)** | • Yes |
| **Other supplier data** | • Yes, registered share capital for joint-stock companies<br>• (*SARL/SA/SCA/SAS/SE/Sociétés civiles* i.e. private limited liability company, public limited liability company, limited partnership, simplified joint stock company, European society, civil society)<br>• Country of the supplier<br>• Option for debits (*in excess of CGI*) |

| **Customer data** | |
|---|---|
| **Full legal name of the customer** | • Yes |
| **Allowed to abbreviate or shorten the legal name of the customer** | • No |
| **Address of the customer in country of establishment** | • Yes |
| **Bill-to address when it is different from the registered address of the customer** | • Yes |
| **Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer** | • Yes, provided that the legal address is clearly indicated as well |
| **IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)** | • Yes, SIREN number. |
| **IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies** | • No |
| **IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies** | • Yes, VAT intra-community number |
| **Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)** | • Yes, In the case where the fiscal representative is the person liable for the payment of VAT |
| **Other customer data** | • SIREN (*in excess of CGI*)<br>• Country of customer |

| | |
|---|---|
| | • Complete address for delivery or performance of the service (*in excess of CGI*) (from 2026) |

| Transaction data | |
|---|---|
| **Date of issue** | • Yes |
| **Date of supply (chargeable event)** | • Yes, date of delivery. |
| **Date of prepayment** | • Yes |
| **Description of the goods/services** | • Yes. Precise name of the goods or services (from 2026) |
| **Quantity of the goods supplied or the extent of the services supplied** | • Yes |
| **Purchase order number** | • Yes, from a commercial law perspective, invoices must mention the purchase order number when it has been previously established by the buyer. If a purchase order does not exist, there is nothing to report on the invoice. |
| **Shipped from location (for the supply of goods)** | • No, but recommended |
| **Shipped to location (for the supply of goods)** | • No, but recommended |
| **Status of the goods (e.g. in bond, in free circulation)** | • No |
| **Incoterms** | • No, but recommended |
| **Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)** | • Specific mentions are required for supplies to public auctions<br>• Date of payment required by the commercial law<br>• Nature of the operation (goods / service / mixed) (*in excess of CGI*) |

| Financial data | |
|---|---|
| **Taxable base per item (unit price excl. IT)** | • Yes |
| **Total taxable base per IT rate or exemption** | • Yes |
| **IT rate applied** | • Yes |
| **Total IT amount calculated per rate** | • Yes |
| **Total IT amount payable** | • Yes |
| **Discounts/rebates if not included in the unit price** | • Yes (from 2026) |
| **Total gross amount (including IT)** | • No, but recommended |
| **Mandatory to mention the total IT amount due in the national currency** | • Yes, the public guidelines issued by the French tax authorities indicate that |

| | |
|---|---|
| | amounts appearing on the invoice may be expressed in any currency provided that the amount of VAT to be paid is determined in EUR, using the conversion mechanism provided by the French tax code.<br>• Currency code must be mentioned |
| **Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country** | • None, only the total IT amount |
| **Exchange rate (if the invoice is not issued in the local currency)** | • No, but recommended |
| **Which exchange rate must be applied in order of priority** | • The daily exchange rate from the European Central Bank |
| **Terms of payment** | • Yes, Commercial law requires that the invoice mentions the date on which payment must be made, the discount conditions applicable in case of payment on a date prior to that resulting from the application of the general conditions of sale, the rate of penalties payable the day following the date of payment indicated on the invoice as well as the amount of lump sum compensation for recovery costs due to the supplier in case of late payment. |
| **IBAN and BIC number of supplier** | • No |

| **Specific references for invoices** | |
|---|---|
| **Invoice reference in case of IT exemption or reverse charge** | • Yes |
| **List the required references in case of exemption or reverse charge** | • For exemption: reference to the Article of the French tax Code or the VAT Directive or any mention referring to the exemption applied<br>• For reverse charge: “*Autoliquidation*” |
| **Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - “reverse charge” for supplies subject to a reverse charge mechanism; - “ supply is taxable in the country of the recipient” for B2B supplies of services; - “exempt intra-Community supply – article 138 VAT Directive”; - “Exempt export – article 146 VAT Directive”; - “simplification for triangular sales – article 141 VAT Directive – “ Transfer of own goods- article 17 VAT Directive”?** | • Yes |

| | |
|---|---|
| **Required to specifically mention 'margin scheme – travel agencies', 'margin scheme – second hands goods', if applicable** | • Yes |
| **Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions** | • No, but recommended |
| **Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)** | • Specific mentions are required for supplies to public auctions. Invoices must require, separately, the auction price of the property, taxes, duties, levies and duties as well as ancillary costs such as commission, packaging, transport and insurance costs requested by the organizer from the buyer of the property when made by an organizer of public auctions acting in its own name, subject to the profit margin regime mentioned in I article 297 A of the French tax code. Such invoices must not disclose VAT. |
| **Specific references required in case invoicing is outsourced** | • Invoices must clearly indicate that they are issued in the name and on behalf of the supplier |
| **Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment** | • No, but recommended |
| **Other specific requirements/references to be mentioned on an invoice** | • Registered shared capital for joint-stock companies |

## 6.5. Simplified invoice[14]

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

| Simplified invoicing | |
|---|---|
| **Possible to issue simplified invoices for certain supplies** | • Yes |
| **Maximum amount for simplified invoices** | • EUR 150 excl. IT<br>• Exceptions: distance sales, VAT exempt intra-EU deliveries |
| **Other supplies for which a simplified invoice can be issued** | • Invoices relating to supplies made by a French supplier to an EU Customer, where the Customer is liable for the payment of the EU IT under the reverse charge mechanism |

[14] Receipts generated in cash registers may provide less information to the PPF compared to regular invoices

| | |
|---|---|
| | • Toll tickets<br>• Car park tickets<br>• Restaurant receipts |
| **Simplified invoices limited to certain type of supplies** | • Yes |
| **Simplified invoices not allowed for certain transactions** | • Yes |
| **Minimum content requirements on a simplified invoice** | • Name and address of the supplier or the service provider<br>• The date the invoice is issued<br>• The description of the goods and services, as well as the quantity<br>• The date of delivery of the goods, or provision of service where applicable<br>• The invoice number<br>• The payment term<br>• Invoices for an amount lower than 150€ exclusive of VAT: it is allowed that the invoice does not include the VAT number of the supplier and the reference to the VAT exemption applicable (except if such references are required by another article of the French tax code)<br>• Invoices relating to supplies made by a French supplier to an EU customer, where the customer is liable for the payment of the EU VAT under the reverse charge mechanism: it is allowed that the invoice does not include the unit price exclusive of VAT, the tax rate applicable, the discount and the VAT amount to be paid |
| **Invoices subject to the national invoice requirements (not self-bills)** | • Invoices issued by an established supplier that are taxable in our country<br>• Invoices issued by a non-established supplier on which VAT is due by the supplier<br>• Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer |
| **(other) Invoices subject to the national invoice requirements (not self-bills)** | • Invoices issued by an established supplier for supplies of goods or services that are not considered taxable in the EU in respect of Title V of Directive 2006/112/CE.<br>• Invoices issued in respect of services supplied via electronic means for which the supplier claims for the specific regime provided for by Article 298 sexdecies F and 298 sexdecies G of the French tax code. |

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

## 6.6. Rectification document

In France, corrective invoices must be issued as rectification documents. A corrective invoice (besides fulfilling the content requirements of the document it rectifies) should include at least the following information:

| Specific references for rectification documents | |
|---|---|
| **Must the word "credit note" be mentioned** | • Yes |
| **Reference to original invoice required on a credit note** | • Invoice number (invoice date from 2026) |
| **Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')** | • No, but recommended |
| **Reason for credit required** | • No |

| Sequential numbering | |
|---|---|
| **Separate sequential credit note numbering required** | • No, but recommended |
| **Allowed to issue one credit note to correct different invoices** | • Yes<br>• If it is impossible to mention the reference to the initial invoice (e.g.: end-of-year discounts), credit notes can refer to several invoices or to the contract to which the invoices relate. In this case, the credit note must specify the period during which these invoices were issued |

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

## 6.7. Payment status

The e-reporting of payment data will **only be mandatory for transactions falling under the category of services**, not being in scope those who opt VAT on debit or VAT reverse charge. This Status can, however, be voluntarily issued for all transactions. Payment status can be reported either on transactional or aggregated level. Indicative mandatory content requirements for Payment Status:

- The period for which the transmission takes place
- Date of payment collection
- Total amount collected, broken down by VAT rate
  Invoice number(s), for those transactions with Invoices

# 7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

| Item | Supplier | Recipient |
|---|---|---|
| **Whether it is mandatory to ensure I&A in the jurisdiction** | • Required | • Required |
| **Which methods for ensuing I&A are provisioned for** | • Any means Business Controls, EDI, eSignature or local RGS accepted<br><br>• For PDF invoice eSignature or RGS required if no audit trail | • Any means Business Controls, EDI or eSignature Validation accepted |
| **Which requirements apply for I&A methods if ensured by a third-party (outsourcing)** | • Authorization is required and can explicit or tacit<br>• If such authorisation is not clearly documented, then, each invoice must state *"issued in name and on behalf of [supplier name]* " | • No explicit requirements, but *ex analogia* application of eSignature outsourcing |

## 7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

| Item | Commentary |
|---|---|
| **e-Signature technical requirements** | • Minimum Qualified or RGS level 2 eSignature |
| **Automated e-signing** | • No explicit requirements |
| **Time-stamping of e-signature** | • The time of invoice issuance must be ascertainable |

## 7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

| Item | Commentary |
|---|---|
| **Validation upon receipt** | • Required, if eSignature / eSeal applied |
| **Time-stamping of validation data** | • No explicit requirements |

# 8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

| Item | Commentary |
|---|---|
| **Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)** | • **Tax Invoice** with signature incl. certificate or other I&A evidence as appropriate<br>o All documents required to be issued and received electronically, e.g. Domestic B2B and B2G invoices and Invoice statuses, must be archived exclusively electronically<br>o Other documents, e.g. International B2B and B2C invoices, may be archived electronically<br>• **Tax Subset** or **Invoice Report** submitted to PPF/DGFIP<br>• **Invoice Statuses** issued and received |
| **Requirements to present stored documents in a specific audit format** | • No requirements for capabilities to transform to audit format |
| **Legibility, i.e. the ability to read stored e-documents by an untrained eye** | • Required |
| **Legibility requirements** | • If the original invoice is in machine-readable format, the taxable person must offer means to provide human-readability |
| **Retention period for invoices not related to immovable property[15]** | • 6 years, according to accounting regulations<br>• 10 years, according to the commercial regulations. Recommended to follow |

[15] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

| | |
|---|---|
| **Start point of retention period calculation for invoices not related to immovable property** | • From the date of issue |
| **Retention period for e- invoices related to immovable property** | • 6 years, according to accounting regulations<br>• 10 years, according to the commercial regulations. Recommended to follow |
| **Start point of retention period calculation for invoices related to immovable property** | • From the date of issue |
| **Retention period for other than regular invoices or invoices related to immovable property (if existing):** | • n.a. |
| **Start point of retention period calculation for other than regular invoices or invoices related to immovable property:** | • n.a. |
| **Outsourced archiving** | • Allowed |
| **Archiving abroad[16] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty** | • Permitted in EU subject to prior notification and online access<br>• Outside of EU additionally subject to existence of a mutual tax assistance treaty or a treaty for the purpose of ensuring online access, downloading and usage of all tax relevant data<br>• It is mandatory to declare the place of storage of the invoices as well as any modification of this place when it is located outside of France |
| **Other requirements in relation to electronic document retention** | • Invoices must be printable from the archive upon request<br>• PPF will serve as the single e-archive for all contracting authorities<br>• Private entities will be able to choose whether they want to archive with PPF or by other means<br>• The public invoicing portal will ensure the storage of invoices received and issued and will keep these invoices and their associated attachments available to issuers and recipients of invoices having an account on the portal, to enable them to ensure compliance with legal requirements. Stored invoices that have been subject to a change of status for less |

[16] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

| | |
|---|---|
| | than 3 months are considered active and will be accessible by the Portal or by API. Stored invoices that have not been subject to a change of status for more than 3 months can only be downloaded via the Portal, or via the dedicated API (asynchronous response within 24 hours) |

# 9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

| Document | Commentary |
|---|---|
| **Purchase order** | • No explicit requirements<br>• However, purchase order should be referenced on Tax Invoice, for PO based purchases |
| **Rectification document** | • Yes, see section 6.6 above |
| **Payment instruction** | • No explicit requirements |
| **SAF-T (or alike) reporting** | • Yes, see section 10.3 further |
| **Transportation documents** | • No explicit requirements |
| **Other** | • n.a. |

# 10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

## 10.1. Special schemes

### 10.1.1. Instalment payment scheme

If certain conditions are met (e.g., "*Régime simplifié de TVA*"), taxable persons may opt to file VAT returns on a yearly basis and pay VAT due under the instalment payment scheme, pursuant to which the deadline for filing is extended.

However, an instalment shall be approved by the tax administration before the initial deadline. Instalment payment scheme is applicable to taxable persons meeting the following thresholds:

- Annual turnover between EUR 82.800-789.000 for the sale of goods, objects, supplies and foodstuffs to be taken away or consumed on the spot; provision of accommodation (excluding furnished rentals, furnished tourist accommodation, self-catering cottages and bed and break-fast),
- Annual turnover between EUR 33.200-238.000 for the provision of services

### 10.1.2. Franchise regime

The franchise regime allows small businesses established in France to avoid filing of French VAT returns and payment of VAT if the following thresholds are not exceeded:

- **Sale of goods**:
  - EUR 85.800 in the previous calendar year,
  - EUR 94.300 in the previous calendar year, when the turnover of the penultimate year did not exceed the amount mentioned in the first point
- **Provisions of services**, excl. sales for consumption on the premises and accommodation services:
  - EUR 34.400 the previous calendar year,

- EUR 36.500 in the previous calendar year, where in the penultimate year it did not exceed the amount mentioned in the first point.

## 10.2. VAT payable on debits

All businesses subject to VAT must declare and remit, according to a certain periodicity (monthly, quarterly or annual), the collected VAT that they invoice to their customers when it becomes chargeable. The due date of the VAT collected depends on the sector of activity of the company and, if applicable, the options formulated. There are two systems.

**VAT payment on debits.** The payment of VAT according to the debits means that the VAT collected is due from the date of issue of the invoice. All transactions carried out by the company, with the exception of the supply of services, real estate works and transfers or concessions of intangible movable property, are to be declared with the VAT system according to the debits. Professionals who, depending on their activity, are required to pay the VAT collected according to the debits have no other possible option, they cannot opt for the payment of VAT according to the receipts.

**VAT payment on receipts.** The payment of VAT according to receipts means that the VAT collected is due when the instalments and the price are collected. Thus, the company only pays the VAT collected to the state from the moment the customer has paid all or part of the amount due. VAT is payable on the receipts for all the following transactions: the provision of services, real estate works, and assignments or concessions of intangible movable property (patents, trademark, etc.), the latter being considered as supplies of services. Sales to be consumed on the spot are considered to be supplies of services.

**Choice between VAT on debits or on receipts.** First of all, it is important to point out that this choice is limited: only professionals who operate in principle with VAT payable according to receipts can request to switch to a VAT system payable according to debits (option formulated for simple mail to the tax office). Professionals who have a trading activity pay their VAT according to the debits and they have no other possible option.

## 10.3. Electronic filings

**Electronic VAT filing** is currently mandatory in France. However, DGFIP has plans to either remove it completely or significantly simplify once the CTC reform has been rolled out completely.

Businesses (incl. foreign, but except small companies and entrepreneurs under certain circumstances) must fill their VAT returns electronically. For companies not established in France but VAT-registered in France, electronic filing is also required.

A notice is currently available on the official website (in French). The "*TéléTVA*" process can be used through one of these two methods:

- **EDI procedure** using UN-EDIFACT standards (fr. *Échange de données informatisées*): the data will be transmitted to DGFIP by the intermediary of an EDI partner accredited as such by DGFIP. The EDI partner can be the taxable person itself provided the accreditation has been granted.
- **EFI procedure** (fr. *Échange de formulaires informatisés*): the taxable person declares and settles the VAT due through DGFIP official website. The taxable person must have previously connected to this website and, by filling in the required information, created an account in the trader subscription section (fr. *Espace professionnel*). When that is done properly, an activation code is sent to the taxable person. Once the account is activated, the taxable person has access to the VAT filing space.

The taxable person must first approach DGFIP to be registered on a compulsory or voluntary basis.

**FEC** (fr. *Fichier d'Ecritures Comptables*) is a summary of taxpayers' accounting records file. It was created as the French version of SAF-T. FEC was first introduced on 1 January 2014.

It must be presented to DGFIP upon request, generally, with the data for an accounting year. The company must provide its accounting records file no later than 15 days after receiving the audit notification. Since 1 January 2014, the FEC, with 18 fields to be filled in for each accounting entry, must be presented to the tax authorities on demand.

If the FEC is not provided to the tax auditor, is incomplete or not compliant with the regulation, it may lead to rejection of all bookkeeping, including the rejection of all related returns and taxes (VAT, Financial Statements, corporate tax, etc.)

## 10.4. PDP certification

DGFIP have not yet published the complete and final list of which requirements a software vendor must fulfil in order to obtain PDP certification. Do-date, the following requirements have been mentioned:

- Support all mandatory invoice formats: UBL 2.1, CII and FacturX (Basic, EN16931 and Extended)
- Have capabilities to ensure invoice legibility
- Capability to create Invoice Subset, validate it and submit to PFP
- Capability to create, send and report Invoice Statuses
- Capability to support Domestic and International B2G, B2B and B2C invoices
- Capability to register and update customer information in the Central Directory
- Capability to query the Central Directory to determine the recipient's PDP
- Ensure invoice I&A by any of the means e-signature, reliable audit trail or EDI
- Commits to interoperate with at least one other PDP within 12 months
- Provide secure access to its customers (at least eIDAS Level 2)
- Fuilfill hosting requirements according to standards such as SecNumCloud and ISO27001/2/17/128

- Fulfil the GDPR requirements

Important to note that the audit required to obtain PDP status must be done within 12 months either from 1 July 2024 (and therefore by 1 July 2025 at the earliest) or from the date for commencing PDP services. Such PDP certification will be valid for 3 years and thus continuously reconfirmed by external auditors acting according to DGFIP requirements and instructions.

## 10.5. CTC non-compliance

The General Tax Code art. 1737 IV and art. 1788D stipulates following penalties of the CTC rules violations:

**E-invoicing violations:**

- Taxpayers: Non-compliance by the taxable person of the obligation to issue an e-invoice carries a fine of EUR 15 per invoice. The maximum amount of fines applied for the same calendar year is €15,000.
- PDP: Any omission or breach by a PDP of the data transmission obligations carries a fine of EUR 15 per invoice. The maximum amount of fines applied for the same calendar year is €45,000.
    - Failure to update the Directory may be sanctioned by the withdrawal of the PDP registration ID.

**E-reporting and payment status violations:**

- Taxpayers: Non-compliance by the taxable person of the obligation to data transmission carries a fine of EUR 250 per transmission. There is no limitation/cap to the maximum amount of the penalty.
- PDP: Any omission or breach by a PDP of the data transmission obligations carries a fine of EUR 750 per transmission. There is no limitation/cap to the maximum amount of the penalty.

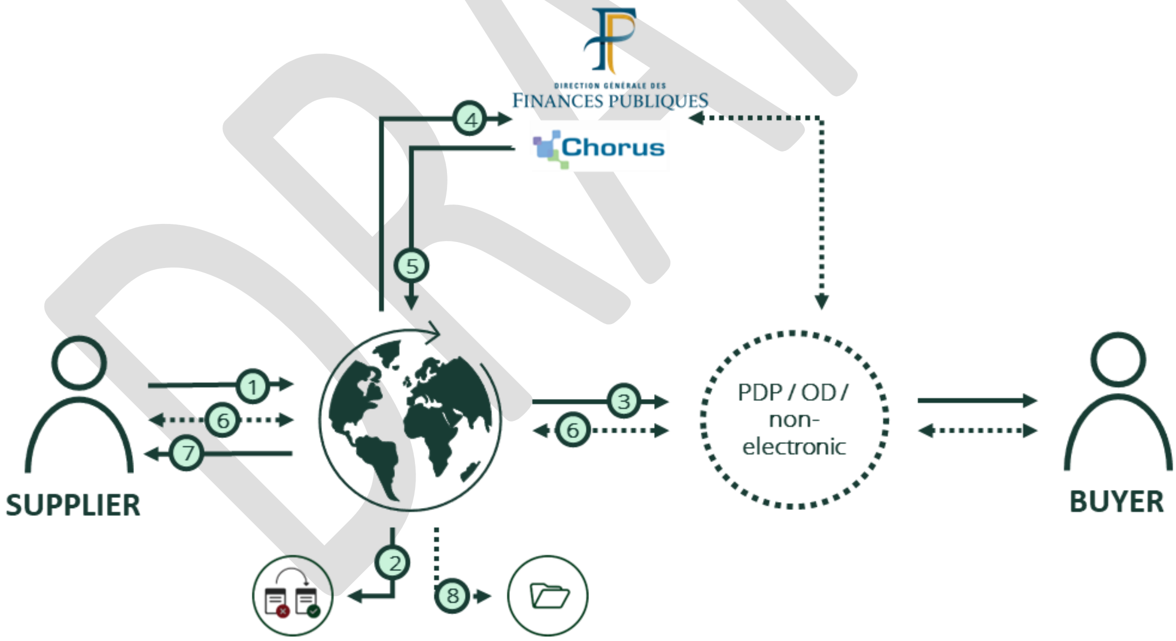
Penalties mentioned above are not applicable in the event of a first offense committed until 2027, when the offense has been repaired by own accord or within thirty days of a first request by the administration.

# 11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

## 11.1. Document issuance (AR) with Pagero

Pagero aims to become a PDP and thus capabilities to support our customers-suppliers with all outbound flows (B2G, Domestic and International B2B, and B2C) following the e-invoicing schema.



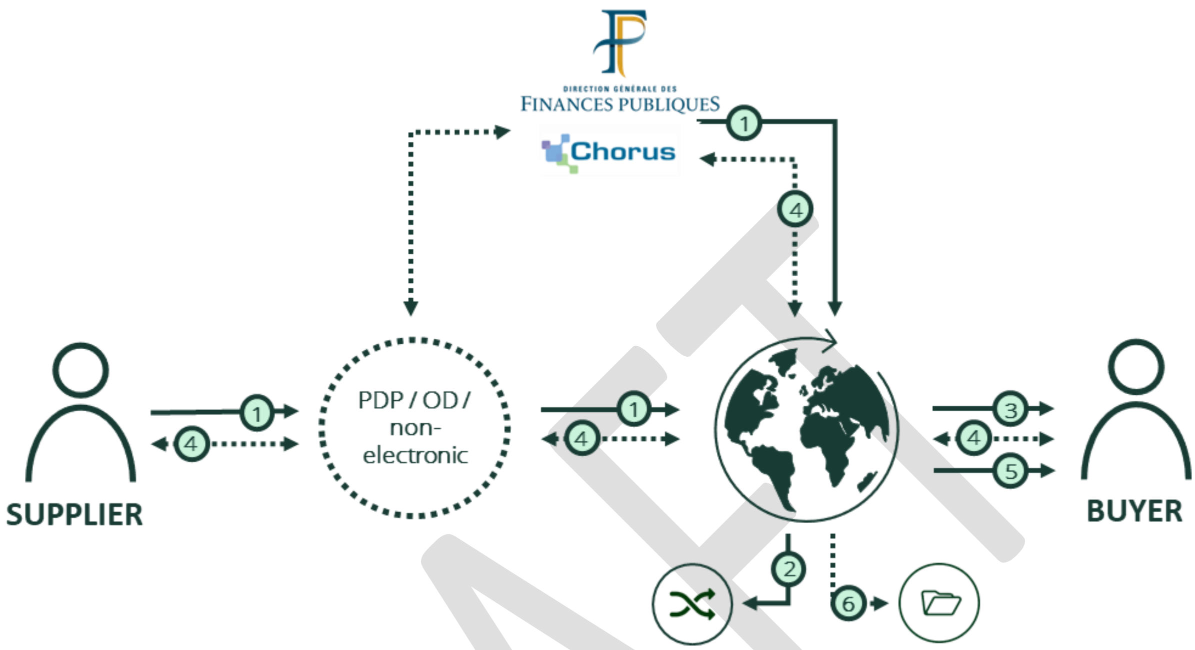

1) **The supplier** provides invoice or invoice status data to Pagero in agreed format and through agreed communication protocol
    a. The supplier should ensure correct marking and content of invoices, depending on whether it's B2G, Domestic or International B2B, or B2C transaction
2) **Pagero** will perform a number of actions:

   a. Validate the content of the received document against DGFIP requirements, and where possible enrich or convert such content to minimise potential irregularities
      i. **If unsuccessful**, Pagero will reject the submission to the supplier to rectify any errors.
      ii. **If successful**, Pagero will proceed with other actions.
   b. Look up the recipient in the Directory and
      i. **If the recipient is behind PPF/OD**, Pagero will produce Tax invoice according to the technical requirements, incl. format, of PPF.
      ii. **If the recipient is behind PDP**, Pagero will produce Tax invoice according to the technical requirements, incl. format, of the end recipient, and Invoice Subset for PPF.
      iii. **If the recipient is non-electronic** (an international business or a consumer), Pagero will create PDF version of the Tax Invoice, unless other has been agreed between the supplier and the specific buyer, and Invoice subset for PPF.
   c. Ensure I&A of the Tax Invoice by any of the allowed means: reliable audit trail, e-signature, EDI or combination of any,
   d. Ensure legibility of the Tax invoice, as applicable

3) **Pagero** will distribute the Tax Invoice to recipient
   a. **If the recipient is not behind PPF/OD**, no distribution will be done.
   b. **If the recipient is behind PDP**, to such receiving PDP per requirements registered in the Directory.
   c. **If the recipient is non-electronic**, to such recipient as PDF by e-mail, unless other agreed.
4) **Pagero** will simultaneously
   a. **If the recipient is behind PDP or is non-electronic**, submit to PPF the Invoice Subset.
   b. **If the recipient is behind PPF or OD,** submit to PPF the Tax Invoice.
5) **PPF** will respond to Pagero:
   a. **If the recipient is behind PDP or non-electronic**, with reception acknowledgement for the Invoice Subset.
   b. **If the recipient is behind PPF/OD**, with approval or rejection of the Tax Invoice.
6) **Pagero** will ensure that the supplier can issue, exchange and receive Invoice Lifecycle Statuses with PDP and PPF for Domestic B2G and B2B transactions
   a. For certain Invoice Statuses, the data must be provided by **the supplier**
7) **Pagero** is capable of returning to the supplier Tax Invoice, Invoice Subset, Invoice Statuses and PPF messages in both mandatory and agreed formats, upon agreement
8) **Pagero** can archive all relevant e-documents on behalf of the supplier, upon agreement

## 11.2. Document reception (AP) with Pagero

Pagero aims to become a PDP and thus capabilities to support our customers-buyers with all inbound flows (Domestic and International B2B, and B2C) following the e-invoicing schema.




1) **Pagero** will receive Tax Invoice:
    a. **If the sender is behind PDP**, Pagero will receive the Tax Invoices through interoperability, Peppol or EDI, depending on agreement in any format agreed between the supplier and the buyer, alt. in any of the mandatory formats.
    b. **If the sender is behind PPF/OD**, Pagero will receive the Tax Invoice in any of mandatory formats.
    c. **If the sender is non-electronic** (an international business), Pagero will be able to receive such invoice via interoperability, Peppol, EDI, Pagero portal or by scanning PDF, depending on the agreement between the supplier and the buyer.
2) **Pagero** will perform among others:
    a. content validation, enrichment and conversion, incl. application of business rules, and
    b. format conversion into a format agreed with the buyer.
3) **Pagero** will provide to the buyer Tax Invoice as received as well as the same file in the format agreed with the buyer
4) **Pagero** will ensure that the buyer can issue, exchange and receive Invoice Lifecycle Statuses with PDP and PPF for Domestic transactions
    a. For certain Invoice Statuses, the data must be provided by **the buyer**

5) **Pagero** is capable of returning to the buyer Tax Invoice, Invoice Statuses and PPF messages in both mandatory and agreed formats, upon agreement
6) **Pagero** can archive all relevant e-documents on behalf of the buyer, upon agreement

# 12. Closing statements

## 12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

## 12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

# Revision history

| Date | What has changed |
|---|---|
| **16 May 2022** | Document created |
| **9 August 2022** | Document updated with new technical specifications |
| **22 September 2022** | Section 10.5: Maximum amount of penalties per year introduced |
| **7 July 2023** | Document updated with new technical specifications ver. 2.2 released 31/01/2023. Added 5.3.1 reporting frequency |
| **15 August 2023** | Document updated with new technical specifications ver 2.3 released 31/07/2023. General update of all sections. Y-model mandate postponed until further notice. |